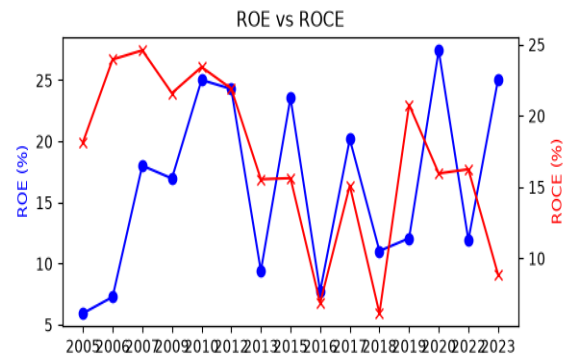
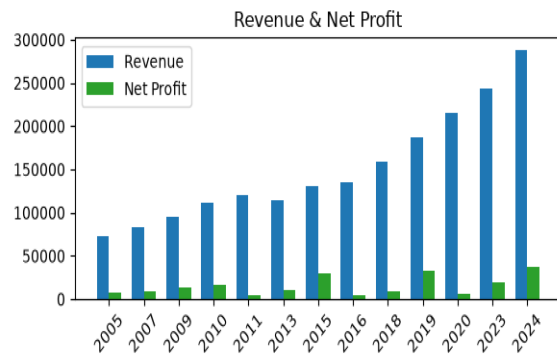
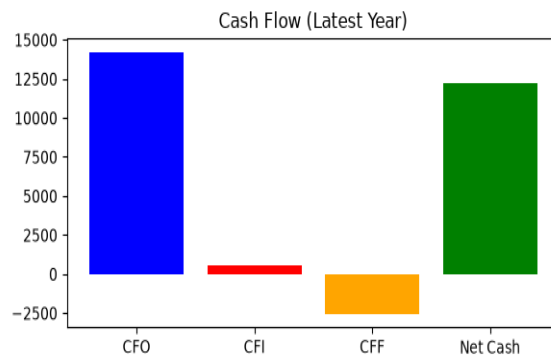
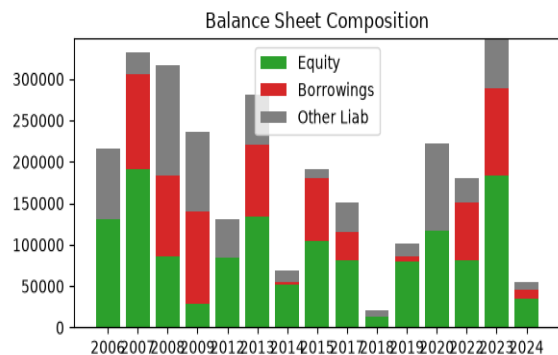


HDFC Life Insurance Company Ltd (HDFCLIFE)

Revenue	Rs. 287862.0 Cr	Net Profit	Rs. 37172.8 Cr	OPM	26.2%
ROE	25.0%	ROCE	8.9%	D/E	1.63





Capital Allocation Pattern: Distress Signal

Pros:

- Strong free cash flow generation over 5 years signals healthy business fundamentals
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons:

- Dividend payout ratio above 100% means the company is paying dividends from reserves, which is unsustainable
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital